

PERFORMANCE BASED SERVICE CONTRACT (PBSC) :

The Government acquires the services through this contract based on PBSC concept.

Quality Assurance Surveillance Plan (QASP), which are Contract Performance Objectives, Performance Standards and Assessment Methods, is described below.

During the contract performance, the Contractor will be evaluated on its ability to comply with applicable license, laws and regulations of Japan such as safety and environmental to conduct the tanker vessels or barges to carry bulk petroleum products. The QASP provides the methodology by which Contractor's performance will be monitored by the COR to determine compliance with standard performance objectives. The contract performance objectives, performance standards, assessment methods, and acceptable quality level are described below in further detail.

Performance Objective	Performance Standards	Assessment Methods	Acceptable Quality Level
1. Comply with the existing Japanese safety and environmental laws and regulations to carry the required clean petroleum products as referenced 1.2 (b), and law and regulations for oil spills as referenced 1.6 of the PWS.	1. The Contractor shall avoid any mishap(s)/accident(s) during the operation. Contactor barges shall be kept clean and clear of debris and residue. The Contractor will experience zero safety accidents, releases or spills during each year of contract performance.	1. (30% random inspection). The COR will monitor each selected operation in terms of the safety requirements. The COR will also monitor and document any safety accidents or oil spills.	100%
2. Maintain and follow written Quality Control Plan (QCP) to ensure quality service is provided throughout the term of the contract.	2. The Contractor shall follow and work to written procedures when performing fueling at the terminal / fueling source and destination at the customer location.	2. (30% random inspection). The COR will inspect in terms of delivery schedule requirements.	100%
3. Schedule compliance	3. The Contractor shall complete all the requirement within the time of operation required in each task order.	3. (30% random inspection). The COR will inspect in terms of delivery schedule requirements.	100%
4. Transaction compliance Loss of or damage to Government Property and/or the Government Furnished Property.	4. The Contractor shall comply with all the Task Order requirements and is responsible for preventing loss or damage to the Government Property. Should any such loss or damage occur, the Contractor must provide all required reports and documentation.	4. (30% random inspection). The COR will monitor and record if the contractor has failed, lost or damaged the Government Property in each operation.	100%

Evaluation and Rating:

The COR will randomly monitor and inspect approximately 30% of the Contractor's performance on all bunkering and de-bunkering operations placed by Task Order. At a minimum, the COR will conduct two inspections per month. The COR will report and rate the Contractor's performance on "Contractor's Performance Evaluation Sheet." When the Contractor performs in compliance with the performance standards by meeting more than 90% quality level, the Contractor's performance will be rated "Acceptable." In case any inconsistency or deficiency is found, the COR will record it on the form and attach any related document to the form. When it is determined the quality level is less than 90%, the performance will be rated as "Unacceptable." All the performance records provided to the Contractor for the operations monitored and inspected will be recorded. The COR will review those evaluation records and prepare a Contractor's Performance Evaluation Sheet in which the Contractor's performance will be rated using FAR 42.1503 Table 42-1.

Note: The COR will assess the overall rating based on all the four (4) performance objectives above with comments. All four (4) factors are equally important and the comment from the COR is mandatory. The COR will maintain a complete QASP file. All records will be retained and considered when deciding if it is in the best interest of the Government to extend the term of the contract or enter into a new contract.